

But cost arbitrage is no longer the primary motivation. Instead, a blend of talent, a thriving start-up ecosystem and a digitally adept industry and customer base is attracting companies to India. “India’s digital ecosystem has exploded, witnessing innovation across fintech, commerce, healthcare, food, mobile, and many more areas,” says Gopinath, adding that the country is a goldmine for a wide variety of talent for Rakuten’s 70-odd businesses.

Add to this the global economic challenges, which have awakened firms to the value of cost-effective captives over outsourcing, as well as the successful validation of remote work during the Covid-19 era, and GCCs are growing a lot faster now. According to EY’s projections, a total of 2,400 GCCs will be operational in India by 2030, with an average of over 100 new facilities added per year until then. By then, it estimates, the industry will have grown to a headcount of 4.5 million—a near-tripling of the current figures.

With the GCCs’ role within their global parent firms rising up the value chain, the India offices

70 | INDIAN GCCS ARE WORKING IN-HOUSE ON TECH & INNOVATION THAT WOULD TRADITIONALLY BE OUTSOURCED TO IT SERVICES FIRMS

are playing an indispensable part in their growth. “About 55 per cent of our IT operations are based here,” says AstraZeneca’s Padmanabhan, estimating that a good chunk of the pharma major’s global value is generated from India.

Fashion retailer Saks Fifth Avenue’s GCC in India handles its website, Saks.com, which includes essential functions such as merchandising, digital operations, and inventory allocation. Madhu Natesan, VP of Business Operations and Site Leader, Saks India, says, “Without the functions of this GCC, customers’ purchase journeys will be impacted as merchandise may not reach the stores or fulfilment centres. It will significantly impact both the top and bottom lines of the business.” Similarly, although Lowe’s lacks physical stores in India, Mittal points out that 50 per cent of its tech workforce operates from here. “We also hold significant responsibilities



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MADHU NATESAN
VICE PRESIDENT, BUSINESS OPERATIONS
AND SITE LEADER, SAKS INDIA



“More and more firms across sectors are realising the value of doing all these [tech and innovation work] in-house, rather than giving it to third-party IT services majors”

ANKUR MITTAL
SENIOR VICE PRESIDENT-TECHNOLOGY
& MANAGING DIRECTOR, LOWE’S INDIA